

Companies (Declaration of Dividend out of Reserves) Rules, 1975

Source: <https://indiankanoon.org/doc/17864011/>

[Skip to main content](#)

[Legal Document View](#)

[Tools for analyzing structure and cite text of judgments](#)

[Unlock Advanced Research with](#)

[PRISM](#)

[AI](#)

[Integrated with over 4 crore judgments and laws ? designed for legal practitioners, researchers, students and institutions](#)

-

[Know your Kanoon](#)

-

[Doc Gen Hub](#)

-

[Counter Argument](#)

-

[Case Predict AI](#)

-

[Talk with IK Doc](#)

-

...

[Upgrade to Premium](#)

[Cites

0

, Cited by

0

]

Union of India - Act

Companies (Declaration of Dividend out of Reserves) Rules, 1975

UNION OF INDIA

India

Companies (Declaration of Dividend out of Reserves) Rules, 1975

Rule COMPANIES-DECLARATION-OF-DIVIDEND-OUT-OF-RESERVES-RULES-1975 of 1975

Published on 24 July 1975

Commenced on 24 July 1975

[This is the version of this document from 24 July 1975.]

[Note: The original publication document is not available and this content could not be verified.]

Companies (Declaration of Dividend out of Reserves) Rules, 1975

Published vide Notification Gazette of India, Extraordinary, Point 2, Section 3(1), dated 24th July, 1975

G.S.R. 427(E), 24th July, 1975. - In exercise of the powers conferred by sub-section (3) of section 205A, read with clause (a) of sub-section (1) of section 642, of the Companies Act, 1956 (1 of 1956), the Central Government hereby makes the following rules, namely :-

1.

Short title

- These rules may be called the Companies (Declaration of Dividend out of Reserves) Rules, 1975.

2.

Declaration of Dividend out of Reserves

- In the event of inadequacy or absence of profits in any year, dividend may be declared by a company for that year out

of the accumulated profits earned by it in previous years and transferred by it to the reserves, subject to the conditions that-

(i)

the rate of the dividend declared shall not exceed the average of the rates at which dividend was declared by it in the five years immediately preceding that year or ten per cent of its paid-up capital, whichever is less;

(ii)

the total account to be drawn from the accumulated profits earned in previous years and transferred to the reserves shall not exceed an amount equal to one-tenth of the sum of its paid up capital and free reserves and the amount so drawn shall first be utilised to set off the losses incurred in the financial year before any dividend in respect of preference or equity shares is declared ; and

(iii)

the balance of reserves after such drawl shall not fall below fifteen per cent of its paid-up share capital.

Explanation. - For the purposes of this rule, "profits earned by a company in previous years and transferred by it to the reserves" shall mean the total amount of net profits after tax, transferred to reserves as at the beginning of the year for which the dividend is to be declared; and in computing the said amount, the appropriations out of the amount transferred from the Development Rebate Reserve (at the expiry of the period specified under the Income-tax Act, 1961 (43 of 1961

) shall be included and all items of Capital Reserves including reserves created by revaluation of assets shall be excluded.

Related AI tags, queries and research notes

Translation